Comparative Economics

Week III – October 16th, 2026

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https://dl1.cuni.cz/course/view.php?id=453

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Outline of the Session

- Lecture session
  - Course organization
  - Reading discussion:
    - Dynamics of economic systems – Acemoglu & Robinson
    - Narrow corridor
  - Traditional (and new traditional) economies
  - The rise of Islamic economies
- Seminar session
  - Islamic economies – current situation
  - “First summary”

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Reading Assignment for the Next Session (October 23rd)

- Polanyi, Great Transformation – chapter 4
  - What does Polanyi say about reciprocity and redistribution?
  - Explain the functioning of the Kula ring
  - In which cases does Polanyi use the adjective "communistic"?
  - What does he say about economic system(s) used during the Greco-Roman period and during feudal societies?
- Rosser & Rosser – chapter 4: Islamic Economics and the Economics of Other Religions
  - Alternatively: Rosser & Rosser - Islamic and Neo-Confucian Perspectives on the New Traditional Economy
  - Besides Islam, Rosser & Rosser briefly outline the influence of the other five main religious traditions:
    - Buddhism, Confucianism, Hinduism, Judaism, Christianity
  - Read the chapter and be ready to discuss the following questions:
    - Why did Schumacher's essay become popular with environmentalists?
    - What seem to be the crucial elements of Confucian societies?
    - What is/was the *jajmani* system?
    - What is/was the Jubilee year?
    - What was the attitude of Judaism to charging interest rates?
    - Which Aristotle's ideas were imported into Christianity?
- You **do not have to submit these answers in writing**, just be ready to answer (and discuss) them.

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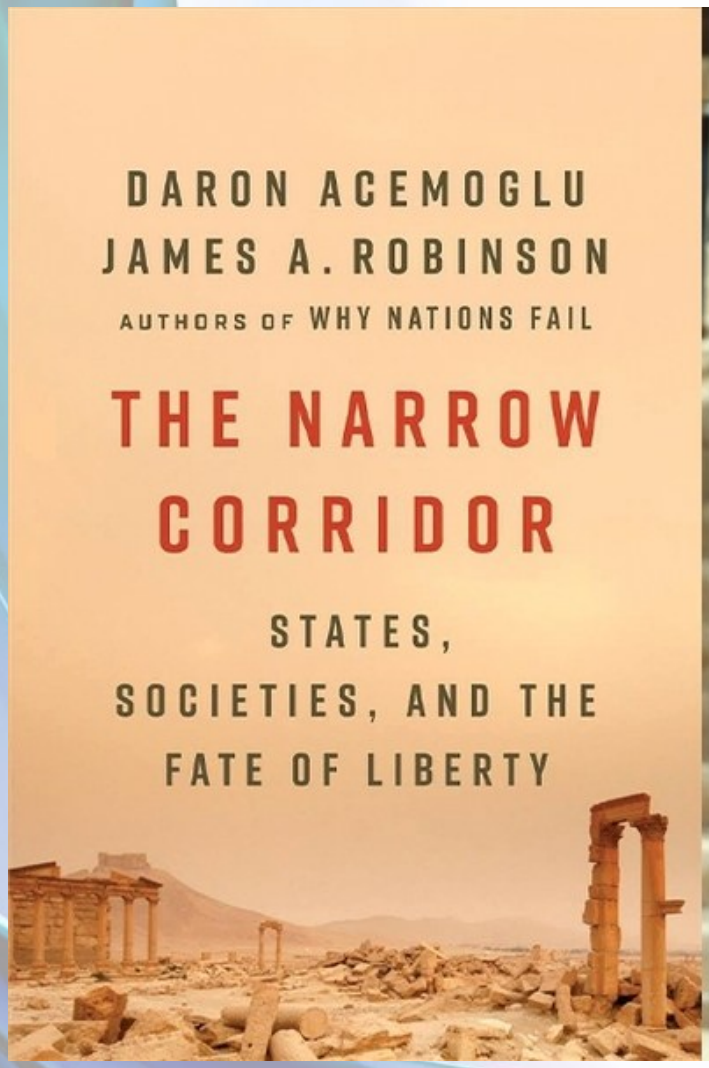
First – to Reading….

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Reading Assignment for This Session (October 16th)

- Acemoglu & Robinson – chapter 1 from **The Narrow Corridor**
  - Explain Hobbes' "Warre" and its effects on economic behaviour.
  - What do Acemoglu and Robinson accept in Hobbes's argument, and what are their two principal objections?
  - What are the differences between the Absent, Shackled, and Despotic Leviathan?
  - What is the "cage of norms"?
  - How can the same social norms both protect people and restrict their liberty? Explain using an example from the chapter.
- Acemoglu & Robinson (2006): **Paths of Economic and Political Development**
  - What is the main driving force of the development?
  - Can you very shortly summarize their theoretical model, i.e. linkages between institutions and power?
  - What determines the de facto power?
  - Why does the credibility of commitment matter?
  - When does the elite choose a repression as a reaction to democratization of society?
  - Did there seem to be any relationship between the economic rise of the UK and its democratization?
- You **do not have to submit these answers in writing**, just be ready to answer (and discuss) them.

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Narrow Corridor: delicate balance between state power and societal power that allows for sustained freedom and prosperity

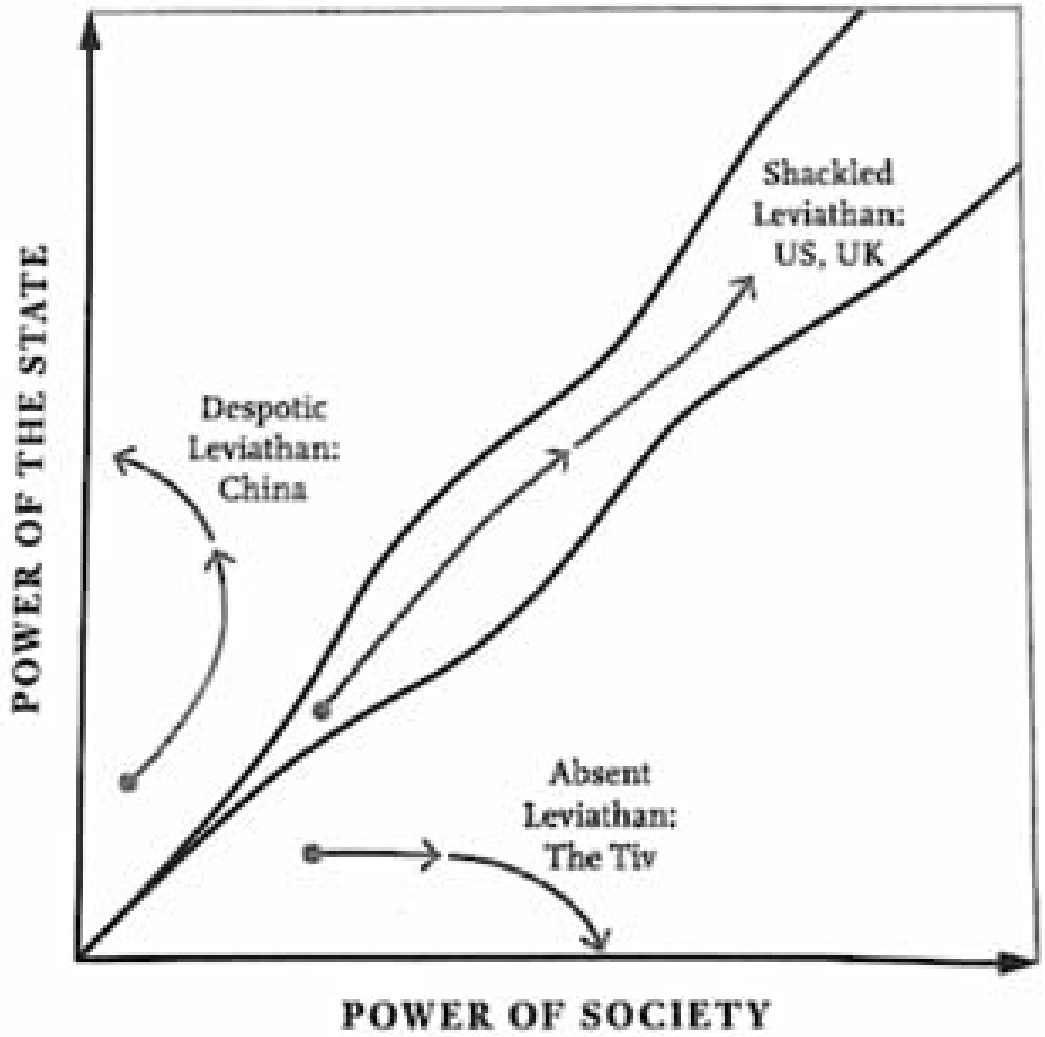
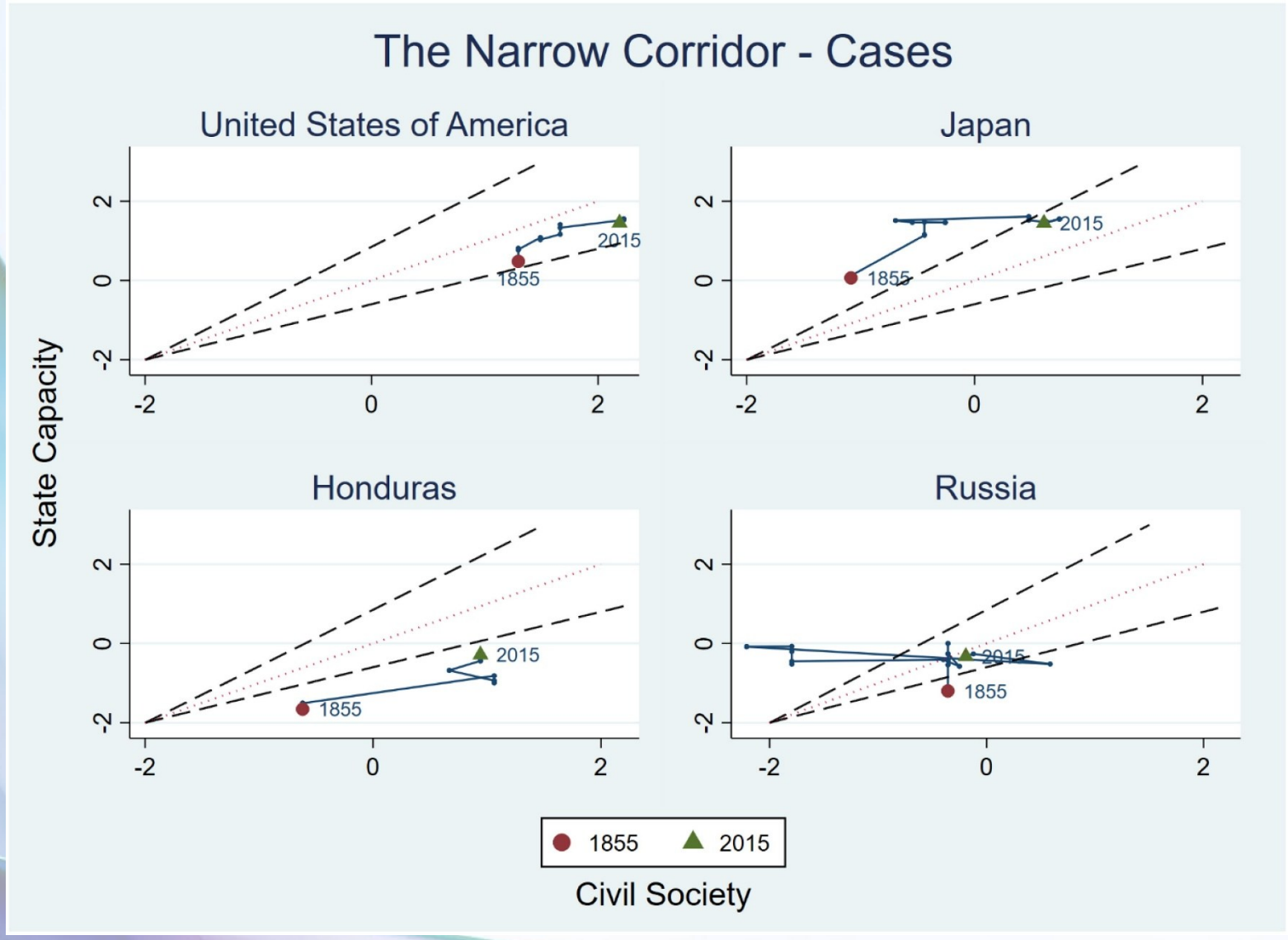


Figure 1. The Evolution of Despotic, Shackled, and Absent Leviathans

Murphy & O'Reilly (2023): The Expansive Corridor: Testing Acemoglu and Robinson (2019)

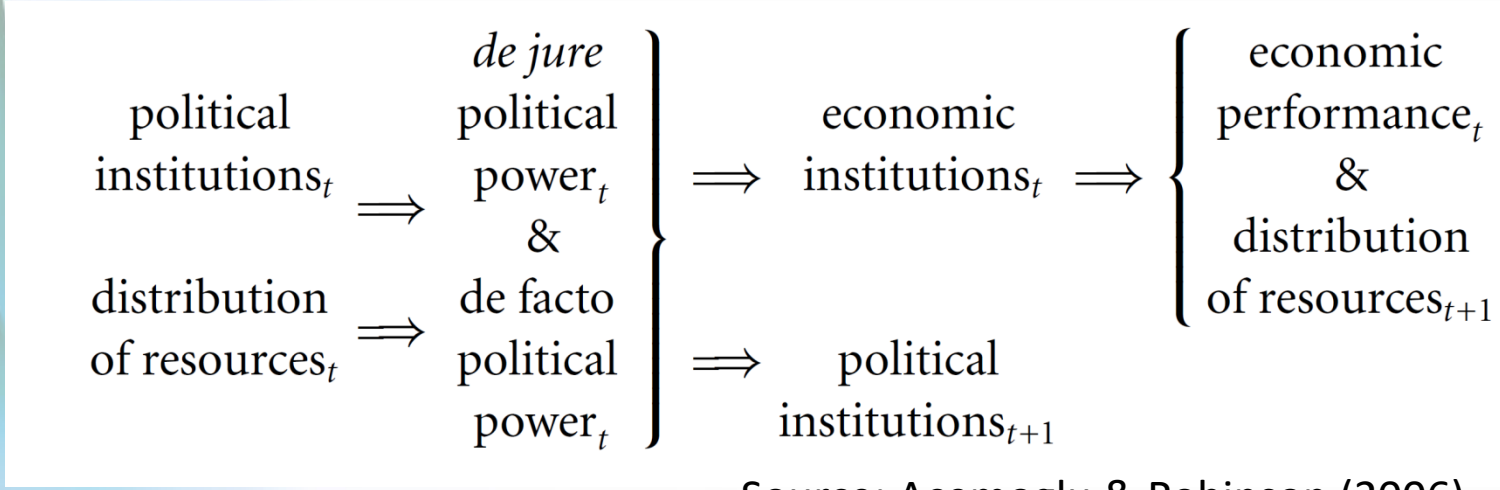


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Acemoglu & Robinson (2006): Theoretical Framework



Source: Acemoglu & Robinson (2006)

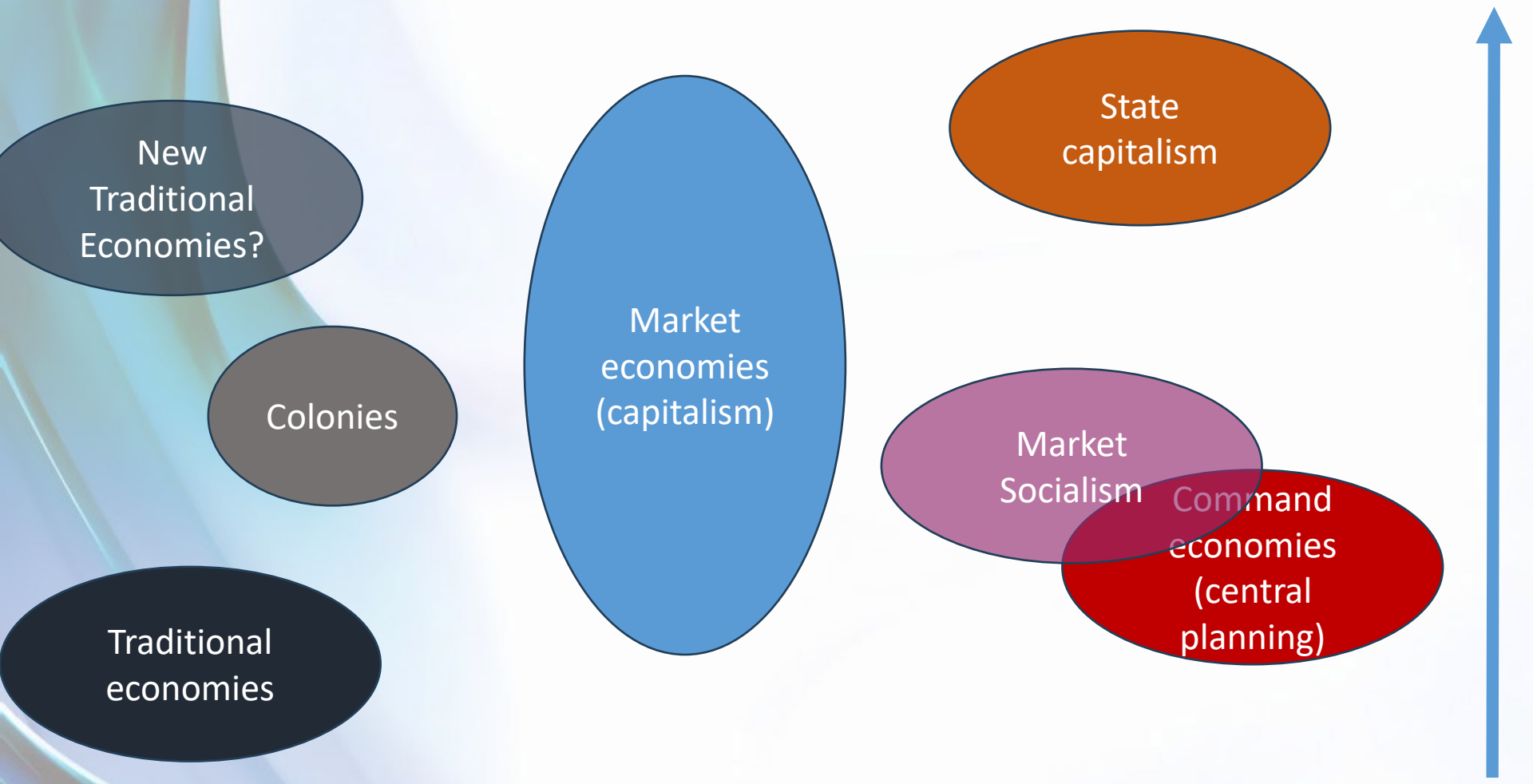
- Sources of persistence → wealth disparity reproduction
  - PI durable
  - Wealth/resources of leading groups

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Traditional Economies

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Types of Systems: A Possible Traditional Overview



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Traditional Economies

- Polanyi (1944): The Great Transformations
  - An influential text
  - Reject naïve interpretations (market economies, communist economies)
- Traditional economies are diverse: their shared feature is the organization of economic life through social institutions.
- Polanyi's central argument: the self-regulating market economy is a historical exception, rather than the natural outcome of universal human behaviour.
- Traditional economies are embedded in society
  - **Custom, law, and religious beliefs regulate economic behaviour; individual profit is not the dominant motive.**
  - Production and distribution are organized through kinship, community, religion, and political authority.
  - People work to maintain social standing, fulfill obligations, and secure membership in the community.

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Traditional Economies (2)

- Traditional economies embedded within larger and cultural frameworks
  - Difference:
    - **Market and command economies:** production and distribution decisions are made largely on economic grounds (**sociocultural factors subordinated to the economic**)
    - **Traditional economies**: people decide according to past practices that have coevolved slowly with the religious and family structures of their societies.
      - Familistic groupism
      - Systems that rely on customs, history, and time-honoured beliefs.
- Reciprocity, redistribution, and householding.
  - These principles can sustain complex trade networks, specialization, and large societies.
  - Markets and money may exist, but they do not govern the economy as a whole.

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Traditional Economies

- Traditional religion
  - dominates the society.
  - a crucial part of the sociocultural matrix within which economic decision-making is embedded

- Norms, customs and habits
  - Transactions happen in the framework of this cage of habits/customs
    - Stabilizing element
    - But it also has implications for motivation

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Polanyi:
Forms of Traditional Economies

- Reciprocal
  - In the reciprocal economy, exchange relations between groups take a ritualistic form of gift-giving that is reciprocated.
  - Example: Trobriand Islanders (archipelago of Papua New Guinea)
    - Moodle: The Economic Pursuits of the Trobriand Islanders, Nature, 1920
- Redistributive
  - Central authority ("Big Man") redistributes goods.
  - Model for despotic ancient empires
- Householding
  - In the household economy, the focus is on family groups and sharing among them.

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Trobriand Islanders

- Highly organized agriculture
  - "The power of the chief and the influence of magic"
    - Chief as overlord of the "garden-land"
    - Traditional garden magician controls the detailed proceedings
- Several customary forms of communal work
  - Kayasa – institution of ceremonial enterprise
    - Gardening, fishing, building of houses, but also tribal sports and games
- Distribution of product
  - Producer receives a share
  - Considerable part used for financing of big tribal enterprises and transformed to permanent wealth
  - Chief collects about 30-50 % of tribal wealth, the only person allowed to allowed to form permanent wealth
- Every important transaction has to be accompanied by a gift and counter-gift
- Tokens of wealth existed, but no article functioning as a medium of exchange

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Trobriand Islands



Map from Wikipedia

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Trobriand Islanders (2)

- Kula ring:
  - Ceremonial exchange system
  - Complex system of visits and exchanges which spans at least 18 island communities
  - Interesting aspect: The objects exchanged in Kula are not particularly valuable in themselves, but rather serve to help forge social connections
  - Gifts of two types
    - Shell-disc necklaces (veigun or Soulava) that are traded to the north (circling the ring in clockwise direction)
    - Shell armbands (Mwali) that are traded in the southern direction (circling counter-clockwise).
  - Value derives from age and former owners
  - It returns to original owner eventually – but gains history (and value)

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Reciprocity

- Mutual obligations organize exchange
- Goods and services circulate through socially established obligations to give and return.
  - Returns may occur later; exchange does not require immediate payment or bargaining.
- Institutional pattern:
  - Symmetry: established partnerships between individuals, kin groups, or villages.
  - Example: the Kula ring - ceremonial valuables circulate between islands, sustaining relationships and prestige rather than generating profit.

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Bureaucracy in Pre-Modern States

- Max Weber: all public officials in pre-modern states were de-facto entrepreneurs
  - Little or no formal pay from the state treasury
  - **Allowed to generate income through the prerogatives of public office**
    - Extracting taxes, running monopolies, accepting gifts
    - Weber: “prebends”/rents
      - Prebendalism – form of profit sharing that allows public agents to keep a full or partial share of the revenue their offices collect
  - Advantage: rules did not have to pay regular wages in money
  - Possible problem: excessive predation → popular revolts

Based on Yuan Yuan Ang

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A & R: The “Cage of Norms”

- A system of customary obligations, taboos, and social expectations that regulates people’s behaviour.
- Particularly important where a central state is absent or weak: communities enforce rules themselves.
- Norms help prevent conflict and constrain individuals who might seek to dominate others.
- They become a “cage” when conformity is compulsory and individuals cannot freely challenge or escape them.

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Effects on Economic Change?

- Customary status can limit people's choices and reinforce unequal social positions.
- Community sanctions can discourage behavior that challenges established relationships.
- Norms that prevent personal domination can also make it difficult to build effective central authority.
  - Example: the Tiv of Nigeria.
  - A & R describe witchcraft accusations as a mechanism for maintaining egalitarianism and preventing individuals from becoming too powerful.
- The key tension: **rules that protect the community against domination can also restrict individual initiative.**

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New Traditional Economy
Nostalgy + Modernity

- Rosser & Rosser:
  - *The New Traditional Economy seeks to be the best of all possible worlds, **combining old with new**, individual with collective, **ethical with practical**.*
  - *It is supposed to be **the true Third Way** between capitalism and socialism, drawing upon the virtues of each while eliminating the sins of each.*
- *But if you read Acemoglu & Robinson*
  - Islam mentioned as one of the first successful drives at centralization (Narrow Corridor, chapter 3)
    - … [one of the examples] of the will to power obliterating the norms meant to keep the Leviathan down
  - Saudi Arabia also used as an example of the "stifling cage of norms" (Narrow Corridor, chapter 12)

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Acemoglu & Robinson, chapter 12

- In the West, the Middle East, especially Saudi Arabia, has come to epitomize lack of liberty, with personal freedom abridged by custom, religion, and despotism.
- **What explains the perfect storm of unchecked despotism and a stifling cage of norms?**
- Such an outcome is surprising given Muhammad's successful state-building drive, which originated in part of Saudi Arabia, and the spectacular civilization that Islamic empires built in the following centuries.
- What happened? **Why did the cage of norms become so fervent and suffocating in the Middle East, when we have seen many other state-building drives relax rather than intensify the cage's restrictions?**

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New Traditional Economy (2)

- Effort to re-embed economic decision-making within such a religiously derived sociocultural matrix, but with modern technology instead.
- Rosser & Rosser (1999)
  - **Most of the world's major world religions** are associated with political-social-cultural-economic movements that can be labeled as **new traditional to some extent**.
    - Mentions the case of Buddhism (e.g. in the case of Myanmar and Buddhistic Socialism), Hindu nationalism (India – BJP)
  - Although the new traditional economy may not exist as a fully developed system in the full Polanyian sense, **it exists as a perspective in the form of an ideal model** which has become an ideological movement of significance around the world in many societies
- Acemoglu & Robinson (Narrow Corridor)
  - Specific situation of Islam
    - Decentralization – flexible use possible
    - The drive towards reliance on religious arguments by those who want to challenge the system

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Religions, Traditions, and Economic Behavior

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Islam and Economic Institutions

"Those who consume interest cannot stand except as one stands who is being beaten by Satan into insanity."

"Allah has forbidden you to take riba (interest), therefore all interest obligation shall henceforth be waived. *Your capital, however, is yours to keep. You will neither inflict nor suffer any inequity."*

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Islam: Brief History

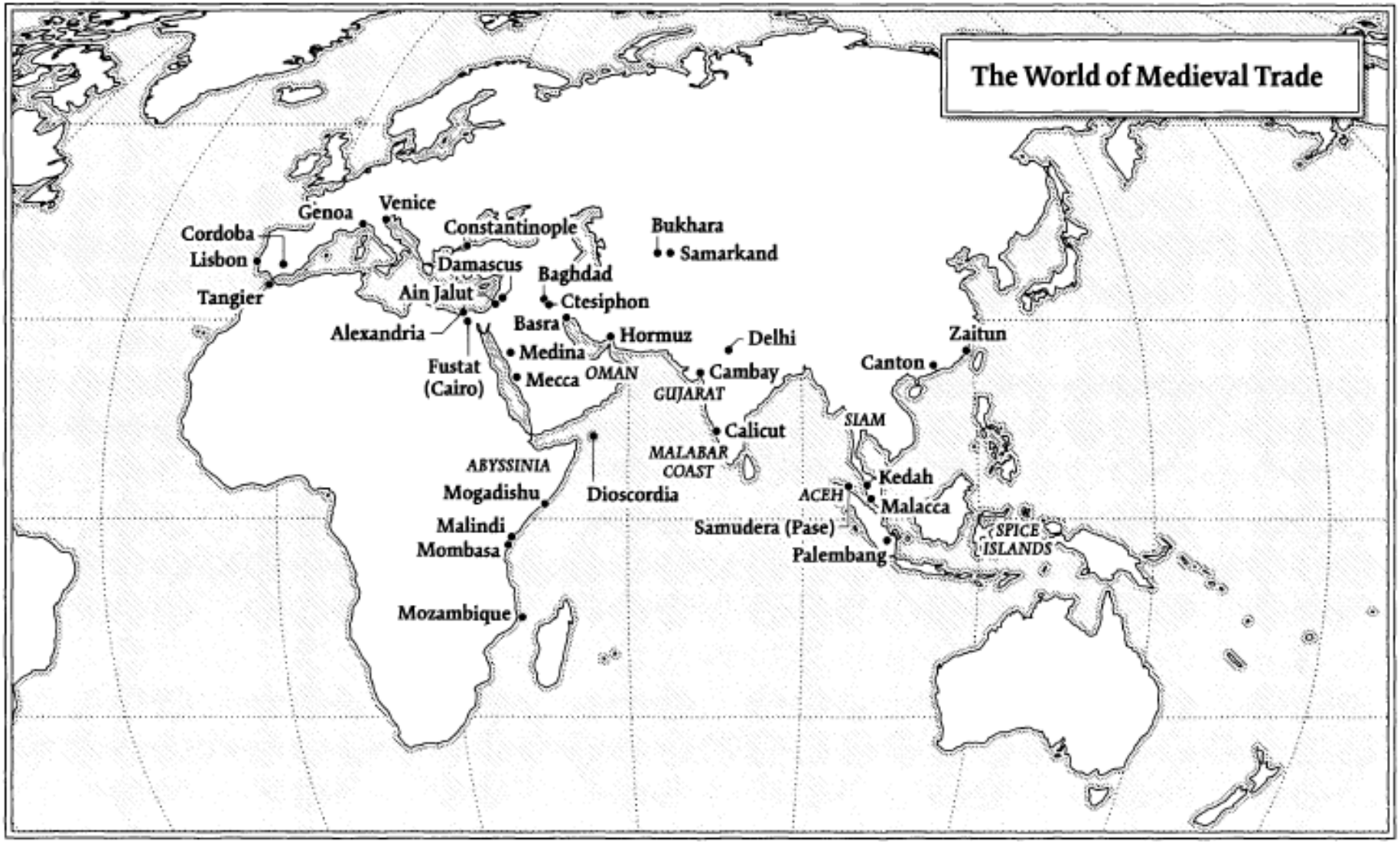
- Chapter 4 from Rosser & Rosser – provides an introduction to the history of Islam
- Historical trends in brief:
  - 570 – 632: Prophet Muhammed
    - Originally: a trader
    - But – Bernstein: „*The Prophet may have been born a trader, but he died a raider*."
  - Around 610 – revelations started
  - 622: Hijra - migration to Medina (year 1 for Islam), beginning of world Islamic community (umma)
  - 632: successor selected (caliph) to lead the umma
  - By 644: Conquest of Syria, Palestine, Egypt, Iraq, Iran, parts of Central Asia, …
  - 732: Battle of Tours (Battle of Poitiers)
  - After 750 - the Abbasid caliphate, Baghdad
    - Baghdad the largest and most important center (outside of China), center of science
  - By mid 900s: fragmentation (many small successor states)
  - 900 – 1700: Expansion of Islam – converts
    - **Expansion in many regions led by merchants!**
    - Role of lower transaction costs (not just trust but also explicit rules)
  - 20th century: low point (early 20th century: colonies or dependent states)
  - Late 20th and early 21st century: revival

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Maritime and Trade Expansion

- The early Muslim conquests essentially recreated the Pax Romana, but on an even grander scale.
  - The Umayyad and Abbasid empires were in effect **large free-trade areas** in which old borders and barriers had been swept away, especially along the Euphrates River, since remotest antiquity the traditional frontier between the East and West.
  - No longer were the three great routes to Asia—the Red Sea, the Persian Gulf, and the Silk Road—competing alternatives; rather**, they were an integrated global logistic system** available to all parties who recognized the suzerainty of the caliphate.
- By the mid-eighth century thousands of Muslim (likely Persian) traders had arrived not only in Chinese coastal ports, but in Chinese inland cities as well
- Arabic was the lingua franca of the new empire, and Muslim navies patrolled ports and sea-lanes from Gibraltar to Sri Lanka.

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Source: Bernstein (2008)

Features and Heritage of This Trade

- Arab and Persian merchants went on to forge trade links to India and the Far East, becoming indispensable in the chain of trade between East and West.
- Arab merchants from Baghdad could travel to Cordoba, Spain, taking with them **a letter of credit**—a *suftaja*—to be cashed on arrival by an agent, part of a network of money transfer that came to be known as *hawala*.
  - The *hawala* would go on to influence the development of the agency concept in common and civil laws throughout Europe.
- The *sakk*—a forerunner of our modern-day **check**—allowed early bankers to become indispensable to every trader as a guarantor of paper money at markets in cities throughout the Islamic world.
- Muslim traders would share the profits of their ventures with their sponsors through investment partnerships now referred to as *musharaka* and *mudaraba*.
- An exchange economy became the framework for Islamic merchant capitalism.

From Irfan (2015)

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Bernstein (2008):

- *Alone among the world's religions, Islam was founded by a trader.*

- This extraordinary fact suffuses the soul of this faith and guides the historical events that ricocheted over the land routes of Asia and the sea-lanes of the Indian Ocean through the next nine centuries. **Its traces are visible in today's world, from the modern colonies of Muslim Indians in East Africa to the Lebanese merchants still active in West Africa to the "Syrians" who populated the third-world outposts of Graham Greene's novels.**

Source: Bernstein (2008, p. 71)

Interesting Implications

- The most sacred texts of Islam resonate with the importance of commerce
  - Koran: "O you who believe! Do not devour your property among yourselves falsely, except that it be **trading by your mutual consent**."
- The most important passages on trade and commerce, however, are found in the **hadith**, the collected stories of Muhammad's life, which offer advice on the conduct of trade from the general.
  - Example:
    - *The buyer and the seller have the option to cancel or to confirm the deal, as long as they have not parted or till they part, and if they spoke the truth and told each other the defects of the things, then blessings would be in their deal, and if they hid something and told lies, the blessing of the deal would be lost.*

Source: Bernstein (2008), p. 71-72

Seminar Session

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Islamic Economics: Principles

- Principles derived from Shari'as
  - But there are diverse interpretations even of relatively basic features
- Three main ideas:
  - *Tawhid (*divine unity)
    - All economic activity must be in accord with divine commands.
  - *Khilafah (*viceregency)
    - Humans are the partners of Allah in managing the world and its resources.
  - *Adalah, (justice*)
    - Which implies concern for the welfare of others and **cooperation** as the basic principle

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Positive Commands

- Zakat (almsgiving)
  - A religious duty for all Muslims who meet the necessary criteria of wealth
  - In theory almsgiving is supposed to be a voluntary activity by the devout, but in practice it became a religious tax used for income redistribution purposes by Islamic governments.
    - Collected by state in Libya, Malaysia, Pakistan, Saudi Arabia, Sudan, Yemen
  - In its original formulation it is a 2.5 percent tax (1/40) on most forms of wealth, above a minimum necessity level, although higher rates, called the *tithe* (*'ushr*), are due for agricultural produce.
    - The tithe seems more like an income tax than a wealth tax.
  - Interesting topic: does it help eradicate poverty?

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Additional Commands and Restrictions (2)

- Hard Work and Fair Dealing
- **Proper Consumption**
  - Pork, non-ritually slaughtered animals, and alcoholic beverages are not to be consumed.
  - Prostitution and gambling are forbidden.
- Gharar, or the **Avoidance of Chance**
  - One is not to make contracts when the outcome cannot be predicted.
    - Speculation, forward markets, and lotteries are all forbidden.
      - Includes short-selling
  - What does it mean for insurance?
    - Three different opinions
      - Allowed (it is different from gambling: law of large number)
      - Unacceptable
      - Acceptable with the exception of life insurance
- Riba: **interest payments strictly forbidden**
  - But profit-sharing (qirad) is possible!
    - Murababa
  - How to allocate capital without a price?

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Sharia-Compliant Finance

- Most of the world's Muslims are not so devout that they completely avoid conventional finance:
  - Even in Saudi Arabia, the assets of Islamic banks account for barely half of all banking assets. (2014 data)
- Modern banks offer compliant products since 1970s
  - First compliant bank in Egypt: 193-1968
- Currently: a global industry which consists of
  - Islamic banks (islamic units of traditional banks)
  - Sukuk – an alternative to bonds
  - Islamic investment funds
  - Takaful: islamic version of insurance

Sources: Economist (2014)

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Sharia-Compliant Products

- Different forms
- Common feature:
  - Do not pay or charge interest
  - Do invest into activities/products forbidden by Islam

- Example – mortgage
  - A bank does not lend money to an individual who buys a property;
  - Instead, it buys the property itself.
    - The customer can then either buy it back from the bank at a higher price paid in instalments (murabahah)
    - or make monthly payments to the bank comprising both a repayment of the purchase price and rent until he owns the property outright (ijara).

From Economist (2014)

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Sukuk (Analogical to a Bond)

- A holder of *sukuk* has not technically lent the issuer money;
- Instead, he owns a nominal share of whatever the money was spent on and derives income not from interest but either from the profit generated by that asset or from rental payments made by the issuer.
- At the end of the *sukuk*'s term the issuer returns the principal to the investor by buying his share of the asset.

From Economist (2014)

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Implications

- Basic features of Islamic finance
  - Asset-based
  - Risk sharing
- It can be less risky than conventional banking!
- Challenge:
  - Need for institutional reforms
  - Development of sharia-compliant money market for Islamic banks: efficient liquidity management

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Problems with this Summary….

- Fragmentation of Islam, intercountry differences
  - Irfan (2015):
    - *There are even Muslims who find the modern practice of Islamic banks abhorrent and little different to the practice of conventional banks.*
      - To what extent is the pursuit of profit acceptable in Islam, if at all?
      - How is one allowed to make profit in a *halal* (permissible) manner?

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More Recent Trends

- S&P
  - Strong banking and sukuk industry performance led to 10.6% growth for the global Islamic finance industry in 2024
    - Total sukuk outstanding surpassing $1 trillion for the first time.
- Significant differences in the role of the sector in selected countries
- Western countries
  - Report on Islamic finance in the UK (2025)
    - “The UK now hosts five fully fledged Islamic banks and over 20 conventional banks offering Islamic financial products”
    - “In January 2024, the government issued a consultation paper on “Tax Simplification for Alternative Finance”.
    - “the Bank of England established a Sharia-compliant liquidity facility, known as the Alternative Liquidity Facility (ALF) in December 2021”
    - https://practiceguides.chambers.com/practice-guides/islamic-finance-2025/uk/trends-and-developments

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Sharia-Compliant Finance and the Global Financial Crisis

- Different attitude to debt and risk sharing: does it make the banks more resilient?
  - Islamic banks had higher asset quality, were better capitalized, and more likely to continue their financial intermediation role during the crisis than their conventional counterparts
    - Beck, Demirgüç-Kunt, and Merrouche (2012): Islamic vs. Conventional Banking. Business Model, Efficiency and Stability. WB, Policy Research Working Paper

- Moheldin (2012): Realizing the Potential of Islamic Finance

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Additional (Easy to Digest) Sources:

- JP MORGAN: Islamic Finance
  - https://www.youtube.com/watch?v=t8zpvDPFUOA

- IMF: Four things you need to know about Islamic finance
  - https://www.youtube.com/watch?v=OvnF2f2MZug

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